

Afro Deli

Woodbury, MN

African-Mediterranean Fusion — East Metro Expansion

A fast-casual franchise opportunity in an affluent, fast-growing suburb with zero direct competition. Projections calibrated against actual operational data from 3 existing locations — conservative ramp-up, detailed sensitivity analysis, and full 5-year outlook.

FRANCHISE	OWNER-OPERATOR	TOTAL INVESTMENT	YEAR 1 ROI	BREAK-EVEN
Afro Deli	Koo Ok	\$300,000	31%	Month 2

CAPITAL STRUCTURE	DATE
100% Investor Equity — No Debt	August 2026

Concept Overview

Afro Deli is a fast-casual fusion restaurant weaving **African, Mediterranean, and American** cuisine in a fast, fun, family-friendly environment.

All dishes made fresh, prepared **Halal**, rooted in a social enterprise mission. **3 locations** operating 12+ years in the Twin Cities — average store doing **\$456K/year**.

3

Existing Locations

\$1.37M

Combined Annual Net Sales

25.7%

Catering Share (actual)

Menu Highlights

- ✦ **Chicken Fantastic** — Somali rice, creole sauce
- ✦ **Sambusas** (beef, chicken, veggie) — fan favorite
- ✦ **Lamb & Chicken Gyros** — spiced rotisserie
- ✦ **Spiced Bowls** — proteins over Somali rice
- ✦ **Falafel / Hummus** — strong vegan options

☐ **Actual Avg Ticket:** \$15.89 | **Turn Time:** 17.8 min | **Night Dinner:** 16.1% (growth runway)

Why Woodbury?

The strongest launchpad for the first suburban Afro Deli franchise.

FACTOR	📍 WOODBURY	MINNETONKA	EDINA
Population	~75,000	~55,000	~54,000
Growth (2020–25)	+12%	+4%	+3%
Median Income	\$117K	\$105K	\$120K
Restaurants per capita	Lower	Medium	Higher
Daytime Surge	30–40%	Moderate	Moderate
Afro-Med Competition	None (gap)	None	None
Lease (\$/sq ft NNN)	\$20–\$25	\$22–\$28	\$28–\$35
Permitting	4–6 wks	6–10 wks	8–12 wks

7 Reasons Woodbury Wins

- ✦ **Largest & fastest-growing** — 75K people, 3× the growth rate
- ✦ **Affluent but under-restauranted** — \$117K income with fewer options per capita
- ✦ **Daytime surge** — 30–40% influx from medical + corporate base
- ✦ **Catering infrastructure** — Woodbury's institutional market is larger than any existing location serves
- ✦ **Zero direct competition** — no African-Med fusion anywhere in the market
- ✦ **Cheapest lease, fastest permit** — \$20–25/sq ft, permits in 4–6 weeks
- ✦ **Expansion logic** — Woodbury → Minnetonka → Edina

Woodbury Demographics

Affluent, fast-growing — the perfect launchpad.

75K

Population

+12% since 2020 — fastest in cohort

\$117K

Median Income

Well above metro — high dining spend

38%

Families w/ Kids

Primary target — dinner demand

30–40%

Daytime Surge

Medical + retail + office influx

Target Segments

- ✦ **Primary (50%)** — Families with kids 6–17
- ✦ **Catering (25%)** — Corporate, medical, schools (validated at 25.7% of existing sales)
- ✦ **Professionals (15%)** — Affluent couples, global flavor seekers
- ✦ **Daytime + Delivery (10%)** — Lunch workforce + 17.1% 3rd-party delivery

Ideal Site Criteria

- ✦ 1,500–1,800 sq ft endcap/inline
- ✦ Power center near grocery anchor (Tamarack Village, Woodbury Lakes)
- ✦ 25,000+ VPD, street-facing signage
- ✦ Lease: \$18–\$25/sq ft NNN (~\$4,200/mo)

Competitor Landscape

Woodbury has a clear gap — Afro Deli fills it.

COMPETITOR	CATEGORY	LOCATION	AFRO DELI ADVANTAGE
Naf Naf Grill	Mediterranean	Tamarack Village	African spicing, sambusas, richer brand story, halal
Chipotle	Mexican Grill	Woodbury Lakes	Unique flavor — Somali rice, spice blends
Panera Bread	Bakery-Café	Valley Creek	Dinner-centric, bolder flavors, community mission
Noodles & Co.	Global-Inspired	Woodbury Lakes	Authentic cuisine, halal commitment
Crisp & Green	Health FC	Woodbury Lakes	Warm bowls + gyros = comfort + nutrition

🔑 **Key Insight:** No competitor offers **African-Med fusion**, **halal-first**, or **cultural storytelling**. And none does 25.7% of revenue from catering.

SWOT Analysis

Strengths

- ✦ Proven model (3 locations, 12+ years)
- ✦ 25.7% catering revenue — proven institutional model
- ✦ Unique cuisine = zero direct competition
- ✦ All-halal = growing demand driver
- ✦ 17.1% 3rd-party delivery (DoorDash, Uber, Grubhub)

Weaknesses

- ✦ First suburban expansion — new territory
- ✦ Limited Woodbury brand awareness vs nationals
- ✦ Royalty + marketing (8%) compresses margins
- ✦ No drive-thru (vs Panera, Chipotle)
- ✦ Owner-operator learning curve

Opportunities

- ✦ Woodbury 12% growth = rising dining demand
- ✦ No African-Med fusion competitor
- ✦ Catering already proven at 25.7% — bigger market
- ✦ Dinner only 16.1% of existing sales — huge runway
- ✦ Second location or Minnetonka in Yr 3–5

Threats

- ✦ **Economic downturn** — rising rates could cut discretionary spend
- ✦ **Halal protein inflation** — chicken, beef prices volatile
- ✦ **Labor market pressure** — wage inflation in Twin Cities metro
- ✦ **Potential Cava entry** — national chain could enter Woodbury
- ✦ **Lease escalation** — 20–40% increase at 5–10 year renewal
- ✦ **Supply chain** — specialty African ingredient disruption

Funding Structure

Total Project Cost: **\$300,000**

COST CATEGORY	AMOUNT
Franchise Fee	\$35,000
Build-Out / Leasehold Improvements	\$120,000
Furniture, Fixtures & Equipment (FF&E)	\$60,000
Permits, Licenses & Legal	\$12,000
Technology & POS Setup	\$8,000
Initial Inventory / Smallwares	\$15,000
Pre-Opening Marketing & PR	\$15,000
Professional Fees	\$8,000
Insurance (Yr 1)	\$5,000
Working Capital Reserve	\$22,000
Total	\$300,000

Capital Stack

\$300K

Investor Equity
100% of total — no debt

\$0

Debt / Loan
No loan service, no personal
guarantee

Key Assumptions

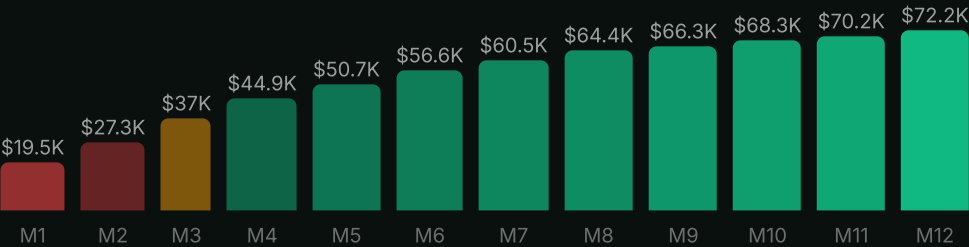
- ✦ **Avg Ticket:** \$15.00 (actual: \$15.89 → conservative)
- ✦ **COGS:** 29% of revenue
- ✦ **Labor:** 30% inclusive of \$60K owner salary
- ✦ **Catering (Yr 1):** 15–20% (actual: 25.7%)
- ✦ **Royalty:** 6% standard + 2% marketing
- ✦ **Rent:** ~\$4,200/mo (\$24/sq ft NNN)
- ✦ **Debt Service:** \$0 — 100% investor equity, no personal guarantee
- ✦ **Working Capital:** \$22K reserve (3–4 months)

Conservative Ramp-Up

50 covers/day starting → 185 covers/day at year-end. 10–15% slower than original projections.

MONTH	COVERS/DAY	REVENUE	EBITDA	NET CF
Month 1	50	\$19,500	(\$1,965)	(\$1,965)
Month 2	70	\$27,300	\$297	\$297 -
Month 3	95	\$37,050	\$3,124	\$3,124
Month 4	115	\$44,850	\$5,386	\$5,386
Month 5	130	\$50,700	\$7,083	\$7,083
Month 6	145	\$56,550	\$8,780	\$8,780
Month 7	155	\$60,450	\$9,910	\$9,910
Month 8	165	\$64,350	\$11,042	\$11,042
Month 9	170	\$66,300	\$11,607	\$11,607
Month 10	175	\$68,250	\$12,172	\$12,172
Month 11	180	\$70,200	\$12,738	\$12,738
Month 12	185	\$72,150	\$13,304	\$13,304

Monthly Revenue Trajectory



- EBITDA / Net cash flow positive: Month 2 (\$297)
- Cumulative cash flow positive: Month 3 (\$1,456) — peak trough only (\$1,965) in Month 1

Year 1 Highlights

\$637.7K

Total Revenue (Yr 1)

\$93.5K

EBITDA

\$93.5K

Net Cash Flow (no debt — = EBITDA)

31.2%

Year 1 ROI on \$300K

14.7%

EBITDA Margin

\$60K

Owner Salary (included)

Unit Economics vs Actual Data

- ✦ **Avg Ticket \$15.00** (actual: \$15.89 — conservative)
- ✦ **Catering 15–20% Yr 1** (actual: 25.7% — building toward parity)
- ✦ **Dinner ~25%** (actual: 16.1% — growth thesis)
- ✦ **Labor 30% incl owner** (actual: 15–21% excl. owner)
- ✦ **Daily break-even: ~65 covers** (vs Yr-end 185 covers)
- ✦ **Cumulative recover:** All losses recovered by Month 3

Break-Even Deep Dive

Detailed math showing exactly where and when the business crosses into profitability.

Break-Even Math

Fixed Monthly Costs ~\$8,400

Occupancy \$4,200 + Base Utilities/Supplies/Tech/Insurance \$4,200

Variable Cost Ratio ~67%

COGS 29% + Labor 30% + Royalty 6% + Marketing 2% = 67%

Contribution Margin 33%

Break-Even Revenue \$25,455/mo

$\$8,400 \div 0.33 = \$25,455$

Break-Even Daily Covers ~65/day

$\$25,455 \div (\$15.00 \times 26 \text{ days}) = 65.3$

Cash Flow BE = EBITDA BE

No debt service — net cash flow equals EBITDA. There is no separate cash-flow break-even.

When Each Metric Crosses

Revenue above fixed costs Month 1 ✓

EBITDA positive Month 2 ✓

Net cash flow positive (= EBITDA) Month 2 ← Key

Cumulative cash flow positive Month 3 ✓

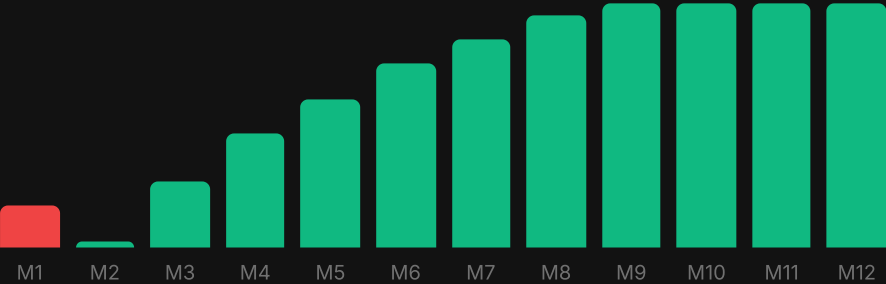
Context: Most new restaurants take 4–6 months to hit EBITDA break-even. This conservative projection achieves EBITDA break-even in **Month 2** and cumulative cash-flow positive in **Month 3** — with no debt service, there is no separate cash-flow break-even. Aggressive but supported by existing brand, proven catering model, and no direct competition.

Cash Flow Trajectory

Monthly net cash flow and cumulative position throughout Year 1.

METRIC	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12
Monthly Net CF (= EBITDA)	(\$1,965)	\$297	\$3,124	\$5,386	\$7,083	\$8,780	\$9,910	\$11,042	\$11,607	\$12,172	\$12,738	\$13,304
Cumulative CF	(\$1,965)	(\$1,668)	\$1,456	\$6,843	\$13,926	\$22,706	\$32,616	\$43,658	\$55,264	\$67,437	\$80,175	\$93,478

Monthly Net Cash Flow



Maximum Drawdown

Peak Negative Cash (\$1,965) — Month 1

Months in the Red 1 month (M1) — cumulative positive M3

Working Capital Needed ~\$2,000

Available Reserve (\$300K plan) \$22,000 (>10× trough)

Even in the worst month (M1, −\$1,965), the \$22K working capital reserve covers the peak trough **more than 10×**. Investor capital is exposed to the startup ramp for only two months of negative cumulative cash.

Sensitivity Analysis

Two scenarios: Base case and a stress case (–20% covers, 32% COGS). The business stays cash-positive in both.

Metric	Base Case	Stress (–20% Covers, 32% COGS)
Year 1 Revenue	\$637,650	\$511,680
Year 1 EBITDA	\$93,478	\$36,090
EBITDA Margin	14.7%	7.1%
Return on \$300K	31.2%	12.0%
Cash Position	Positive from Month 3	Positive all year

Base Case

Conservative ramp (50→185 covers). EBITDA break-even Month 2, cumulative cash positive Month 3. Year-end net cash flow of \$93,478 — a 31.2% return on \$300K. The most likely scenario given existing brand recognition, catering model, and competitive gap.

Stress Case (–20% Covers, 32% COGS)

Revenue falls to ~\$511,680 and COGS rises to 32% — EBITDA still lands at \$36,090 (12.0% return), and the business stays cash-positive all year. Mitigation: cut labor to ~27%, tighten COGS to 27%, defer non-essential spend, accelerate catering.

Resilience: The \$22K working capital reserve covers the base-case peak trough (–\$1,965) **more than 10x over**, and the stress case never dips below zero. With no debt service, there is no interest burden or covenant risk to amplify a downturn.

5-Year Financial Outlook

From break-even to strong cash generation. Year 2–5 assumes steady 5–8% annual growth.

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Daily Covers (avg)	~140	195	205	210	215
Revenue	\$637,650	\$780,000	\$842,000	\$885,000	\$925,000
COGS (29%)	(\$184,919)	(\$226,200)	(\$244,180)	(\$256,650)	(\$268,250)
Gross Profit	\$452,732	\$553,800	\$597,820	\$628,350	\$656,750
Labor (30%)	(\$191,295)	(\$234,000)	(\$252,600)	(\$265,500)	(\$277,500)
EBITDA	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
EBITDA Margin	14.7%	19.0%	20.0%	20.6%	21.1%
Net Cash Flow (no debt = EBITDA)	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
Cumulative Cash Flow	\$93,478	\$241,478	\$409,978	\$591,978	\$786,978

\$787K

5-Year Cumulative Cash

262% total return on \$300K over 5 years (≈29% CAGR), plus \$360K of owner salary. No debt service or interest burden.

21.1%

Year 5 EBITDA Margin

As operations mature and catering scales to 25% of revenue. Industry average for fast-casual is 15–20%.

\$195K

Year 5 EBITDA

Debt-free from Day 1 — every dollar of EBITDA flows to operations and owners. No loan to retire, no interest to pay.

Investor Return Structure

Illustrative proposal — the final split is negotiable and must be confirmed before fundraising.

Illustrative Terms

8% preferred return on \$300K	\$24,000/yr
Remaining profit (\$93,478 – \$24,000)	\$69,478
60/40 split of remaining	Investors \$41,687 / Operator \$27,791
Total Year 1 investor return	\$65,687 (21.9% on \$300K)
Operator Year 1	\$27,791 + \$60,000 salary = \$87,791

Year 1 Distribution Waterfall

Year 1 EBITDA	\$93,478
Step 1 — Preferred return (8%)	→ \$24,000 to investors
Step 2 — Remaining profit	\$69,478
Step 3 — 60/40 split	Investors \$41,687 Operator \$27,791
Investors receive (Year 1)	\$24,000 + \$41,687 = \$65,687

Label: Illustrative / negotiable. The 8% preferred return pays first, then remaining profit is split 60/40 — confirm the structure with prospective investors before circulating.

Investment Structure: \$300K All-Equity

A single, fully-funded structure: 100% investor equity — no debt, no personal guarantee.

Use of Funds — \$300,000 Budget

Franchise Fee	\$35,000
Build-Out / Leasehold Improvements	\$120,000
Furniture, Fixtures & Equipment (FF&E)	\$60,000
Permits, Licenses & Legal	\$12,000
Technology & POS Setup	\$8,000
Initial Inventory / Smallwares	\$15,000
Pre-Opening Marketing & PR	\$15,000
Professional Fees	\$8,000
Insurance (Yr 1)	\$5,000
Working Capital Reserve	\$22,000
Total	\$300,000

Capital Structure

\$300K

Investor Equity
100% — no debt

\$0

Debt
No loan, no personal
guarantee

- Investor Equity \$300,000 (100%) — no debt, no personal guarantee
- Working capital \$22K — 3–4 month cushion, >10× peak trough
- Every dollar of EBITDA serves operations and owners
- EBITDA break-even Month 2; cumulative cash positive Month 3

With no loan service, investor capital is exposed to the startup ramp for only **two months of negative cumulative cash flow** — and the \$22K reserve covers that more than 10× over.

Real-World Validation

Actual POS data from 3 existing Afro Deli locations (June 2025 – June 2026) was used to calibrate and validate every projection.

Metric	Actual (3-Location Avg)	Woodbury (Conservative)	Notes
Annual Revenue	~\$456K/location	~\$638K	+40% — higher income, no competition, growth
Average Ticket	\$15.89	\$15.00	Conservative — Woodbury can support \$16+
Catering %	25.7%	15–20% (Yr 1)	Conservative ramp; targeting 25% by Yr 3
3rd-Party Delivery	17.1%	Included in covers	DoorDash 12.7%, Uber Eats 3.1%, Grubhub 1.3%
Lunch / Dinner Split	55.7% / 16.1%	~50% / ~25%	Key thesis: dinner is underpenetrated
Labor % (excl. owner)	15–21%	25–27%	Higher in new market + training + owner salary

Why Woodbury Can Exceed Existing Location Revenue

- ✦ **Income:** Woodbury (\$117K) vs existing location neighborhoods (~\$55–75K)
- ✦ **Competition:** Zero direct competitors vs 2+ near existing locations
- ✦ **Catering:** Larger institutional market than any existing location serves
- ✦ **Growth:** 12% population growth vs stable/declining urban neighborhoods
- ✦ **Dinner runway:** 16.1% today → 25% target = 55% upside in dinner alone

Risk Mitigants Already in the Numbers

- ✦ Avg ticket projection (\$15) is below actual (\$15.89) — built-in cushion
- ✦ Catering projection (15–20% Yr 1) is below actual (25.7%) — conservative by default
- ✦ Labor projection (30% incl. owner) is well above actual (15–21% excl.)
- ✦ Woodbury projection is already 40% above existing average — captures market upside

Next Actions

Immediate (Week 1–4)

- ✦ ☐ Request FDD from Afro Deli franchisor
- ✦ ☒ Engage **franchise attorney** for FDD & agreement review
- ✦ ☐ Validate Item 19 financial performance reps against actual data
- ✦ ☐ **Site scouting** — Tamarack Village, Woodbury Lakes, Valley Creek

Short-Term (Month 1–3)

- ✦ ☐ Open the **\$300K investor equity raise** (100% equity — no debt, no personal guarantee)
- ✦ ☐ Schedule **Discovery Day** with franchisor
- ✦ ☐ Finalize entity structure (LLC)
- ✦ ☐ Negotiate lease letter of intent

Key Contacts Needed

- ✦ **Franchisor:** Afro Deli corporate
- ✦ **Investors:** Preferred-return equity partners (8% pref + profit share)
- ✦ **Attorney:** Franchise + lease specialist
- ✦ **Broker:** Woodbury commercial RE
- ✦ **Contractor:** Restaurant build-out

Timeline to Opening

- ✦ **Month 0–2:** FDD, lease LOI, investor commitments
- ✦ **Month 2–5:** Build-out, equipment install, training
- ✦ **Month 5–6:** Soft opening → grand opening
- ✦ **Month 2–3:** EBITDA break-even; cumulative cash positive by Month 3

Let's **Build** This.

A proven franchise concept
validated by real operational data
in a growing, affluent market with no direct competition.

\$300K

Total Investment (100% Equity)

Month 2

EBITDA Break-Even

31.2%

Year 1 ROI on \$300K

Conservative Financial Summary:

Ramp: 50 → 185 daily covers

Revenue Yr 1: \$637,650 | EBITDA: \$93,478

Net Cash Flow Yr 1: \$93,478 (no debt — equals EBITDA)

5-Year Cumulative Cash: \$786,978

Break-even: EBITDA Month 2 | Cumulative Month 3

Working Capital: \$22K reserve (>10× peak trough)

Data Backing:

Projections calibrated against actual POS data from

3 existing Afro Deli locations (June 2025–June 2026):

Combined net sales \$1.37M | Avg ticket \$15.89

86,170 annual guests | Catering 25.7%

17.1% 3rd-party delivery | Labor 15–21%

All Woodbury projections are estimates pending FDD review, site selection, and lease negotiation.